



**Submission to the Environment and
Communications References Committee**

regarding the

**Inquiry into artificial intelligence and data
centres**

August 2026

Who we are

Digital Rights Watch is a charity founded in 2016 to promote and defend human rights as realised in the digital age. We stand for privacy, democracy, fairness, and freedom. Digital Rights Watch educates, campaigns, and advocates for a digital environment in which rights are respected, and connection and creativity can flourish. More information about our work is available on our website: www.digitalrightswatch.org.au

Acknowledgement of Country

Digital Rights Watch acknowledges the Traditional Owners of Country throughout Australia and their continuing connection to land and community. We acknowledge the Aboriginal and Torres Strait Islander peoples as the true custodians of this land that was never ceded and pay our respects to their cultures, and to elders past and present.

Contact

Tom Sulston | Head of Policy | tom@digitalrightswatch.org.au

Elizabeth O'Shea | Chair | lizzie@digitalrightswatch.org.au

Lucinda Thorpe | Privacy Advocate | lucinda@digitalrightswatch.org.au

Contents

General Position	4
The effectiveness of existing regulatory frameworks	5
Potential impacts of AI and data centres	6
Inadequate sustainability safeguards	6
Limited local economic benefit	8
Local storage is not data sovereignty	9
Transparency is a requirement	11
Recommendations	12
1: Moratorium on hyperscale AI data centres	12
2: Mandatory and enforced regulation governing data centre development and operation	13
3: Data centres must adopt a rights-based approach to data protection	15
4: The Australian public must benefit from data centre development	16

General Position

Digital Rights Watch (DRW) welcomes the opportunity to provide comment to the committee's inquiry into artificial intelligence and data centres.

For the sake of brevity, in this submission we have focused on data centres rather than the AI systems and products that run inside them.

While there may be some interesting and useful developments from the AI industry, we are concerned with the unprofitable capital-led growth of the industry, the data-extractive nature of the hyperscale corporations driving it, and the way in which expected benefits and costs are distributed.

Our research in AI shows us that Australia is underprepared for the societal issues that are already being caused by AI hyperscalers, let alone those that are to come.

We welcome the committee's scrutiny into the industry's claims of benefits, and offer some analysis of current and potential issues of large-scale AI rollout in Australia. If it would be useful to the committee, we are happy to provide further evidence and clarity.

The effectiveness of existing regulatory frameworks

The government's light-touch position on AI regulation - rejecting AI-specific guardrails in favour of existing regulatory frameworks is showing signs of not being fit for purpose. Our research on AI in health has shown that regulators lack the direction, resources, and co-ordination with other regulators required to meaningfully regulate AI companies. We believe that this scenario is likely to be replicated across other areas of Australian society and economy - including AI data centre construction.

This is exacerbated by the complexities of the AI ecosystem and tech stack. Regulations that may have been adequate for traditional data centre construction and operation will not meet the specific needs for AI data centres.

We note that not only are there complexities of the AI industry, but there are complexities and competing interests in the structures of Australian regulation - local residents and councils may resist a data centre in their town, while state governments are competing to attract large construction projects, and the federal government is chasing AI-promised productivity gains.

Therefore, it is imperative that Australian governments and regulators lean into the complexity of the situation and work from first principles to ensure that the AI industry in Australia behaves as a good corporate citizen, rather than abrogating their responsibilities in favour of "fast-track" approvals and "light-touch" regulation.

We have seen in other jurisdictions that the actual resource requirements of operating an AI data centre can deviate from the estimates given during the planning process. As part of considering how to regulate AI data centre construction, ongoing monitoring, assessment, and regulation must be brought into scope.

Potential impacts of AI and data centres

Inadequate sustainability safeguards

Given the high environmental stakes of the rapid expansion of data centres across Australia, policy must be binding and backed by research.

Disappointingly, the current Dept. of Industry data centre development policy relies on suggestions to developers to do the bare minimum.

It must not be optional for data centres to “*cover their share of transmission and distribution infrastructure costs*”. If data centres are not paying for the load they place on Australian infrastructure, then Australian people are subsidising the industry.¹

Nudging a notoriously extractive industry to “minimise their energy demand and emissions by adopting industry-leading efficiency measures and technologies”,² will not protect Australians from the adverse effects of skyrocketing energy demand and water usage.³

¹ Department of Industry, Science and Resources, ‘Expectations of Data Centres and AI Infrastructure Developers’ (Web Page, 23 March 2026) ‘Expectation 2 – Supporting Australia’s Energy Transition’
<<https://www.industry.gov.au/publications/expectations-data-centres-and-ai-infrastructure-developers#expectation-2--supporting-australias-energy-transition>>.

² Ibid.

³ Greenpeace Australia Pacific, Energy Vampires: The AI Data Centres Draining Australia (Report, 27 May 2026) 20, 32
<<https://www.greenpeace.org.au/static/planet4-australiapacific-stateless/2026/05/1032fdf5-data-centres-report-greenpeace.pdf>>.

While current data centre development policy emphasises sustainability,⁴ research shows that AI data centres are too resource-intensive to ever be sustainable.⁵ This is confirmed by the AI industry's own demands that governments roll-back their commitments to renewable energy in order to feed data centres⁶.

Even if we come to discover that it is possible to sustainably power AI data centres, we need to recognise that Australia is only part-way through decarbonising the nation's energy systems and meeting our Paris carbon neutrality obligations. Adding vast demand from data centres for the construction of renewables will consume capacity that would otherwise be able to replace coal-fired power plants and other carbon-intensive methods of energy production used in the wider economy. AI data centres need not only to exclusively consume renewable energy, but also contribute to growing Australia's capacity to decarbonise, rather than consuming it.

⁴ Department of Industry, Science and Resources, 'Expectations of Data Centres and AI Infrastructure Developers' (Web Page, 23 March 2026) 'Expectation 2 – Supporting Australia's Energy Transition', 'Expectation 3 – Sustainable and Efficient Water Usage' <<https://www.industry.gov.au/publications/expectations-data-centres-and-ai-infrastructure-developers#expectation-2--supporting-australias-energy-transition>>; Department of Jobs, Skills, Industry and Regions, 'Sustainable Data Centre Action Plan' (Web Page, 6 March 2026) <<https://djsir.vic.gov.au/priorities-and-initiatives/ai-mission-statement/sustainable-data-centre-action-plan>>; Infrastructure NSW, NSW Data Centre Consultation Paper (Consultation Paper, March 2026) 'Principle 3 Data Centres Need to Be Efficient and Make Sustainable Use of Our Energy and Water Systems as Well as the Environment' <https://www.infrastructure.nsw.gov.au/media/qwwpt03m/nsw-data-centre-consultation-paper_wcag.pdf>.

⁵ Daria Onitiu, Sandra Wachter and Brent Mittelstadt, 'The Fallacy of Sustainable Generative AI: Limitations in EU Environmental Regulation of Data Centres and Paths Forward' (SSRN, 30 March 2026) <https://papers.ssrn.com/sol3/papers.cfm?abstract_id=6641359>; and Alex de Vries-Gao, 'The Carbon and Water Footprints of Data Centers and What This Could Mean for Artificial Intelligence' (2026) 7(1) Patterns 101430 <<https://doi.org/10.1016/j.patter.2025.101430>>.

⁶ <<https://www.politico.eu/article/europe-choose-ai-climate-goals-data-center-chief-warns/>>

Limited local economic benefit

Data centre development policy also emphasises job growth⁷ despite limited research to support the claim that data centres promote long-term job growth.

The long term employment benefits of data centres are much smaller and more conditional than industry claims often imply.⁸ The biggest job boost is usually during construction, where construction workers outnumber operational workers 15 to one.⁹ Construction accounts for a small part of a data centre's lifecycle.

Large AI data centre construction projects will need to compete for the same labour needed to build housing, energy infrastructure, and public works. In an already capacity-constrained construction market, this risks pushing up labour costs, delaying housing delivery and adding even more pressure to the housing crisis.¹⁰

⁷ Department of Industry, Science and Resources, 'Capture the Opportunities' in National AI Plan (Web Page) <https://www.industry.gov.au/publications/national-ai-plan/capture-opportunities>; Department of Jobs, Skills, Industry and Regions, 'Sustainable Data Centre Action Plan' (Web Page, 6 March 2026) 'How Will the Action Plan Benefit Victorians?' <https://djsir.vic.gov.au/priorities-and-initiatives/ai-mission-statement/sustainable-data-centre-action-plan>; Infrastructure NSW, NSW Data Centre Consultation Paper (Consultation Paper, March 2026) 'Principle 1 Investment in Data Centres Should Enable a Wider Technology Ecosystem that Drives Job Creation and Propels Economic Growth' https://www.infrastructure.nsw.gov.au/media/qwwpt03m/nsw-data-centre-consultation-paper_wcag.pdf.

⁸ Mark Muro, Katie Zhang and Yang You, 'New Evidence on Data Center Employment Effects' (Brookings, 4 May 2026) <https://www.brookings.edu/articles/new-evidence-on-data-center-employment-effects/>.

⁹ M Reza Hosseini, 'The Cloud Is Made of Concrete' (Pursuit, 27 April 2026) <https://pursuit.unimelb.edu.au/articles/the-cloud-is-made-of-concrete>.

¹⁰ Infrastructure Australia, 2025 Infrastructure Market Capacity Report (Report, November 2025) 48 https://www.infrastructureaustralia.gov.au/sites/default/files/2025-11/IA25_Market%20Capacity%20Report_1.pdf; Rider Levett Bucknall, Regional Intelligence Update: First Quarter 2026 (Report, March 2026) 15 <https://www.rlb.com/wp-content/uploads/sites/1/2026/03/RLB-Australia-Market-Intelligence-Update-Q1-2026.pdf>.

Ongoing operations jobs are limited, especially for colocation or hyperscale AI data centres. The productivity gains promised by AI hyperscalers are predicated on reducing human labour costs, which means job losses.

Colocation data centres are typically owned by landlords who lease racks out to remote tenants who have no need for a local operational presence.¹¹ This type of data centre presents a significant portion of proposed and existing data centres in Australia.¹² In the US, those counties with only colocation data centres experienced a 9% drop in IT and tech jobs.¹³

Data centre jobs are not necessarily secure either, as 78% of data centre managers believe that AI will reduce the number of data centre staff required.¹⁴

Local storage is not data sovereignty

Respecting the privacy of Australians' data is a vital requirement for technology companies who operate here. While the storage of Australian data in local data centres offers some level of privacy protection, a data centre's location is just one aspect of a very complicated web of factors determining the security of that data.

¹¹ Mark Muro, Katie Zhang and Yang You, 'New Evidence on Data Center Employment Effects' (Brookings, 4 May 2026)

<<https://www.brookings.edu/articles/new-evidence-on-data-center-employment-effects/>>.

¹² M3 Property, Data Centre Growth in Australia (Research Report, September 2024) 5

<<https://m3property.com.au/static/6bf62cb9d98da7205f8f30dbb8919748/Data-Centre-Insight-September-24.pdf>>.

¹³ Mark Muro, Katie Zhang and Yang You, 'New Evidence on Data Center Employment Effects' (Brookings, 4 May 2026)

<<https://www.brookings.edu/articles/new-evidence-on-data-center-employment-effects/>>.

¹⁴ Uptime Institute, The People Challenge: Global Data Center Staffing Forecast 2021–2025 (Report, 2021) 15

<https://uptimeinstitute.com/uptime_assets/f7fdc06fd6dd53d60f4b3a6ea2b75f5a4ab874d6e52bd727833b29426a245d3e-staffing-forecast-2021-2025.pdf?mkt_tok=NzExLVJJQS0xNDUAAAQLdXMzkkY29tVMuo82FAGuHsU6AVkgC82ihNGq12qx8eJau-ZDmycoNV-XuA7NVrwZcllFEtEYhNOaXDDPo4Bc4zCZNcK5aDGvp-GFvj0>.

Australia's current national security and privacy frameworks leave data stored in Australian data centres vulnerable for foreign access. While data sovereignty and privacy garnered a mention in the optional federal expectations for data centre developers, our current regulatory framework does not meaningfully protect data stored in Australian data centres.¹⁵

Data stored in Australia may be subject to foreign access, particularly where the relevant provider, parent company, technology stack or operational control sits offshore.

Both the Chinese and American governments have passed laws requiring that corporations based in their countries permit intelligence services access to corporate data stored outside their borders.¹⁶¹⁷ US surveillance laws can also compel assistance from Australian authorities in accessing electronic communications.¹⁸ Chinese or American whistleblowers or political dissidents residing in Australia could face retaliation, as could Australian citizens who may need to use an ESTA-like process to visit a foreign nation.

The privacy of user data stored in Australia by Chinese and American corporations is already compromised. Storing Australian data in Australian data centres makes little difference to its protection from US government access when the platforms holding it are US companies - like all AI hyperscalers. The AI supply chain and regulatory environment is too complex and interdependent to allow such a simplistic application of sovereignty.

¹⁵ Department of Industry, Science and Resources, 'Expectations of Data Centres and AI Infrastructure Developers' (Web Page, 23 March 2026) <<https://www.industry.gov.au/publications/expectations-data-centres-and-ai-infrastructure-developers#expectation-2--supporting-australias-energy-transition>>.

¹⁶ National Intelligence Law of the People's Republic of China (People's Republic of China) arts 7, 14, translated in China Law Translate, 'PRC National Intelligence Law (as Amended in 2018)' (Web Page) <<https://www.chinalawtranslate.com/en/national-intelligence-law-of-the-p-r-c-2017/>>.

¹⁷ Exoscale, 'CLOUD Act vs GDPR: The Conflict About Data Access Explained' (Web Page, 21 October 2025) <<https://www.exoscale.com/blog/cloudact-vs-gdpr/>>; 18 USC § 2713 ('Required Preservation and Disclosure of Communications and Records') <<https://www.law.cornell.edu/uscode/text/18/2713>>.

¹⁸ Department of Home Affairs, 'Australia-United States CLOUD Act Agreement' (Web Page) <<https://www.homeaffairs.gov.au/about-us/our-portfolios/national-security/lawful-access-telecommunications/australia-united-states-cloud-act-agreement>>.

Transparency is a requirement

For AI data centres to operate in Australia, they cannot be allowed to be extraterritorial grey boxes where foreign-owned AI companies process Australians' data in secrecy. In practice, this means that there must be a greater level of transparency over the training data used in AI models run in Australia. This is necessary to allow regulators to inspect that the AI corporations running the systems are compliant with Australian privacy, copyright, and other data protection laws. Similar requirements already exist in California¹⁹ and the European Union²⁰.

We would like to see this transparency extended to cover water usage, power consumption, and carbon emissions generated, so that regulators and the public can hold AI data centre companies accountable for their claimed and actual resource consumption.

¹⁹ AB-2013 Generative artificial intelligence: training data transparency act: https://leginfo.legislature.ca.gov/faces/billTextClient.xhtml?bill_id=202320240AB2013

²⁰ EU Artificial Intelligence Act, 53 (1)(d) "Obligations for Providers of General-Purpose AI Models": <https://artificialintelligenceact.eu/article/53/>

Recommendations

1: Moratorium on hyperscale AI data centres

DRW supports a moratorium on the development of data centres for AI hyperscalers. The current regulatory framework is too weak and fragmented to protect Australians from the harm posed by data centres. We strongly oppose the proposed creation of “fast track” approvals systems to accelerate data centre construction while weakening regulatory oversight.

In particular, AI data centres present a far greater resource burden than standard data centres. A standard server rack will use under 30 KW of power, whereas a rack full of AI chips requires around 132 KW per rack.²¹ AI data centres have a dramatically greater electricity demand, placing strain on Australia's already-stretched energy grid and on scarce water resources for cooling.

Furthermore, DRW questions the public benefit to Australia in exchange for hosting infrastructure to accelerate the deployment of technologies already creating serious security,²³ social²⁴ and democratic risks.²⁵

²¹ Uptime Institute, Uptime Institute Global Data Center Survey 2025 (Report, 2025) 2
<https://datacenter.uptimeinstitute.com/rs/711-RIA-145/images/2025.Annual.Survey.Report.pdf?mkt_tok=NzExLVJJOS0xNDUAAAGcNPnjzIRtJDlpo9-Khi9n18G0DO03Sio3InUg39J2C4NwajSneDRbDbOS68NjcyIaxC-tv-Wxs8gNe8yLCsRPIInSsJBbujdGUMIOQZ66IJcvq&version=0>.

²² Schneider Electric, ‘Schneider Electric Announces New Solutions to Address the Energy and Sustainability Challenges Spurred by AI’ (Press Release, 4 December 2024)
<<https://www.se.com/ww/en/about-us/newsroom/news/press-releases/schneider-electric-announces-new-solutions-to-address-the-energy-and-sustainability-challenges-spurred-by-ai-674f09f25ad2a1e7eb07b6f3/>>.

²³ Australian Cyber Security Centre, ‘Five Eyes Cyber Security Agencies Statement’ (Web Page, 22 June 2026)
<<https://www.cyber.gov.au/about-us/view-all-content/news/five-eyes-cyber-security-agencies-statement>>.

²⁴ Department of Industry, Science and Resources, ‘Risks and Harms’ in Voluntary AI Safety Standard (Web Page, 5 September 2024)
<<https://www.industry.gov.au/publications/voluntary-ai-safety-standard/risks-and-harms>>.

²⁵ Raluca Csernatonî, ‘Can Democracy Survive the Disruptive Power of AI?’ (Carnegie Endowment for International Peace, 18 December 2024)

2: Mandatory and enforced regulation governing data centre development and operation

Federal expectations for data centre and AI infrastructure development need to be mandatory, not voluntary.²⁶

DRW remains concerned that measures such as the use of reclaimed water and renewable energy procurement will not fully offset the energy, water and resource demands of these facilities..²⁷ At the very least, data centres must be required to demonstrate credible, enforceable measures to reduce their environmental and infrastructure impacts.

Operators must be held accountable for the resource consumption of their data centres while they are running, not just in the planning stages. Regulators need to hold to account data centres that consume more power and water than they claim during the planning stage. This means that regulators need to run monitoring systems to measure data centre resource usage against their plan.

AI corporations hosted in Australia must demonstrate to regulators through clear transparency requirements that their training data meets Australian requirements on copyright, privacy, and data protection.

<<https://carnegieendowment.org/research/2024/12/can-democracy-survive-the-disruptive-power-of-ai>>.

²⁶ Department of Industry, Science and Resources, 'Expectations of Data Centres and AI Infrastructure Developers' (Web Page, 23 March 2026) <<https://www.industry.gov.au/publications/expectations-data-centres-and-ai-infrastructure-developers#expectation-2--supporting-australias-energy-transition>>.

²⁷ Daria Onitiu, Sandra Wachter and Brent Mittelstadt, 'The Fallacy of Sustainable Generative AI: Limitations in EU Environmental Regulation of Data Centres and Paths Forward' (SSRN, 30 March 2026) <https://papers.ssrn.com/sol3/papers.cfm?abstract_id=6641359>; and Alex de Vries-Gao, 'The Carbon and Water Footprints of Data Centers and What This Could Mean for Artificial Intelligence' (2026) 7(1) Patterns 101430 <<https://doi.org/10.1016/j.patter.2025.101430>>.

3: Data centres must adopt a rights-based approach to data protection

Greater emphasis must be placed on the protection of the data held within Australian data centers. Data centre operators, and companies leasing storage or compute capacity from them, should be subject to clear, mandatory obligations to protect sensitive, personal, and strategically significant data.

Current guidance appears to permit digital access to data by parties with a legal right to access it.²⁸ This wording is too broad and creates a loophole. A foreign government may claim a legal right to access data held by an organisation incorporated or headquartered in its jurisdiction, even where that data is stored in Australia. Data stored in Australian facilities could be used to identify queer people, political dissidents, journalists, activists, minority communities, or other vulnerable groups. Without stronger safeguards, Australian-hosted data could be accessed or searched for purposes that are inconsistent with Australian democratic values, human rights protections and national security interests.

DRW acknowledges that cross-border data access and transfer is a complex regulatory area. However, data centres operating on Australian land should not be able to rely on foreign legal obligations as a reason to undermine Australian rights, democratic principles or security interests.

²⁸ Department of Industry, Science and Resources, 'Expectations of Data Centres and AI Infrastructure Developers' (Web Page, 23 March 2026) <<https://www.industry.gov.au/publications/expectations-data-centres-and-ai-infrastructure-developers#expectation-2--supporting-australias-energy-transition>>.

4: The Australian public must benefit from data centre development

Any data centre expansion in Australia must fundamentally benefit regular Australians.²⁹ Without strong public benefit obligations, Australian communities will be left to absorb the ongoing costs of these facilities, including noise pollution,³⁰ increased energy demand,³¹ pressure on water resources,³² land use impacts and strain on local infrastructure, while profits flow offshore to large technology companies. Given that all AI data centres on Australian land would be built on Aboriginal land, it is essential that First Nations peoples and land councils consent to construction, are given oversight and the ability to impose conditions where they deem appropriate.

Data centre expansion must not be allowed to privatise potential gains offshore while socialising the costs to Australians. If these facilities are to consume significant public resources and place pressure on local communities, they must defray the costs on already-stressed communities. DRW supports a strong taxation or levy framework for large-scale data centres, with revenue directed toward affected communities, housing construction, renewable energy infrastructure, grid upgrades, water resilience and environmental protection.

²⁹ David Pocock, 'If Australian Datacentres Are Going to Power the AI Revolution, We Deserve a Fair Return' The Guardian (online, 9 June 2026) <<https://www.theguardian.com/commentisfree/2026/jun/09/australia-datacentres-artificial-intelligence-ai-revolution-industry-fairness>>.

³⁰ Yu Tao and Peng Gao, 'Global Data Center Expansion and Human Health: A Call for Empirical Research' (2025) 4(3) Eco-Environment & Health 100157 <<https://doi.org/10.1016/j.eehl.2025.100157>>.

³¹ Samuel Yang, 'Power-Hungry Data Centres Scrambling to Find Enough Electricity to Meet Demand' ABC News (online, 26 July 2024) <<https://www.abc.net.au/news/2024-07-26/data-centre-electricity-grid-demand/104140808>>.

³² Manuel Herrera et al, 'Sustainable AI Infrastructure: A Scenario-Based Forecast of Water Footprint under Uncertainty' (2025) 526 Journal of Cleaner Production 146528 <<https://doi.org/10.1016/j.jclepro.2025.146528>>.